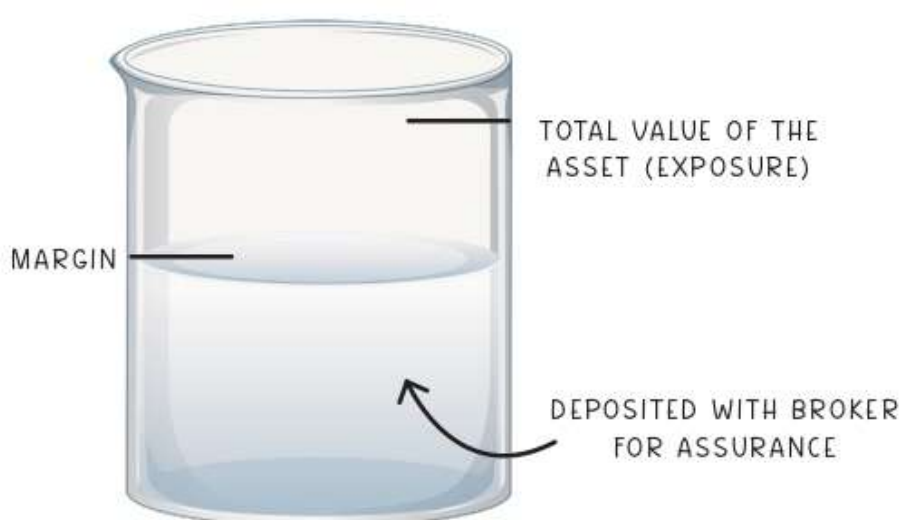


MARGIN

A security amount that is deposited with the broker that they can use to meet the liabilities in case there is a loss, is called Margin. This is mandatory in futures contracts. If Margin falls below a certain amount than you are required to refill the same otherwise the broker will square-off your position.



INITIAL MARGIN

The initial margin is the safety deposit made at the time of entering the futures contract. You must have this amount in your trading account to execute transactions. Brokers also give margin taking your assets as collateral. That means, lets say you have assets worth ₹5,00,000 in your Demat account. So, against that, the broker may allow ₹3,00,000 that can be used as margin. However, you will still need some cash to meet daily mark to market settlements. Lets take an example where 20% of the lot value needs to be maintained as Margin amount.



$$\begin{aligned}\text{MARGIN} &= ₹2,00,000 \times 20\% \\ &= ₹40,000\end{aligned}$$

